

Strategy Assignment: Lumora HealthTech – Operating Model Alignment

Assignment Context

You are a Strategy Advisor at Lumora HealthTech, a B2B digital health company specializing in diagnostic software for laboratories. Having helped define Lumora's Winning Ambition, chosen Playing Field, and crafted an enhanced Value Proposition in previous modules, you now turn to aligning the **Operating Model** with this strategic direction.

Lumora's executive team has agreed on a refined strategy based on prior work and leadership input. The Playing Field is now tightly defined: **Lumora will focus on diagnostic labs in Germany and Austria only**, with no expansion into private clinics or radiology centers at this stage. The validated Value Proposition for these labs is to deliver “**precision diagnostics at scale**” – meaning Lumora's Diagnostic Decision Support System (DDSS) offers **highly accurate and fully compliant** diagnostic support, **seamlessly integrated** into lab workflows, and increasingly **predictive** (leveraging data to flag risks, streamline processes, and improve lab efficiency).

With this clear strategic mandate, Lumora's leaders recognize that the current configuration of people, processes, systems, and structures may not be optimal to support the new focus. They have tasked you with assessing Lumora's current Operating Model and recommending changes so that “**strategy and execution fit together.**” Your analysis will directly inform an upcoming reorganization and investment plan to ensure Lumora can execute its strategy and achieve its ambition.

Your Task

Act as Lumora's internal strategy consultant and **realign Lumora's Operating Model** to the new strategic direction. **First, clarify Lumora's strategic focus** – identify the company's value discipline (how it chooses to compete) and the **core differentiating capabilities** it must excel at to deliver on “precision diagnostics at scale.” Also determine which activities are merely essential “table stakes” or are **non-strategic** under the new focus. **Next, diagnose** how Lumora's current Operating Model is configured across key building blocks (people, process, technology, structure, etc.), and analyze its **value chain** of activities, identifying strengths, weaknesses, and misalignments relative to the new strategy. **Then, design the changes** needed – define a Target Operating Model that builds the required capabilities and reconfigures key elements (structure, processes, technology, partnerships, etc.) to support Lumora's strategy. Finally, **recommend a transformation plan** to **bridge the gap** from the current state to the target state – using the framework of four action categories from Leinwand & Mainardi's approach: **Stop** non-strategic activities,

De-Emphasize (prune/streamline) table stakes, **Invest to Grow** in strategic areas, and **Build & Scale** new capabilities.

Your proposal should be concrete and actionable. It must show how stopping or dialing down certain activities, and investing in or building others, will create an operating model that reinforces **Lumora's differentiating capabilities** and supports its focused value proposition. Use only the data provided in the case (see Appendix) – the assignment is designed to be completed with in-course materials only, reflecting realistic decision-making with limited information.

Assignment Instructions

Step 1. Identify Value Discipline & Key Capabilities (20 pts) – Based on Lumora's new strategy, determine **which value discipline** (Treacy & Wiersema's model: Operational Excellence, Customer Intimacy, or Product Leadership) Lumora is pursuing with "precision diagnostics at scale." Briefly **explain your choice** with evidence from the case (e.g. the nature of Lumora's offering and what its customers value). Next, identify the **core capabilities** the company must excel at to deliver this value proposition – essentially, what Lumora needs to be **uniquely good at** for its strategy to succeed. List 3–5 such capabilities. For each, briefly explain why it is critical to the strategy **and** evaluate it against the **VRIN criteria** (Valuable, Rare, Inimitable, Non-substitutable) for sustainable advantage. Capabilities that pass the VRIN test can be considered true differentiators. In contrast, identify the **"table stakes"** activities that Lumora must do **adequately** (meet industry standard) but which will not set it apart competitively – these are necessary operations where being good enough is sufficient. Also note any current activities or initiatives that appear **non-strategic** under the new focus (e.g. projects that do not contribute to the core lab diagnostics strategy). In other words, clarify which things Lumora should **focus on and invest in**, which to **maintain at baseline**, and which to **consider stopping** to execute its strategy. Provide a brief justification for each choice, linking back to Lumora's value proposition and competitive context (why does this capability truly matter for winning, or why not?).

Step 2. Diagnose the Current Operating Model (20 pts) – Using the **eight building blocks** of an operating model, map out **Lumora's current configuration** and assess how well each element supports (or fails to support) the new strategy. The eight building blocks to consider are: **Leadership & Decision-Making, Structure (Org Design), Processes & Workflows, People & Skills, Culture & Norms, Technology & Systems, Performance Metrics & Incentives, and Partnerships & Ecosystem**. For each of these, summarize **Lumora's current state** (based on case data) and evaluate its strengths or weaknesses in light of the strategic priorities from Step 1. Identify any **misalignments** where the current setup is at odds with the needs of the "labs in DE/AT, precision-at-scale" direction. You may use a table to organize this diagnosis. *(Note: It's not necessary to re-describe the entire strategy here, but reference it when noting fits or misfits.)*

In addition, **outline Lumora's value chain** – the sequence of activities from product development and integration through sales, delivery, and support of the DDSS to lab customers. Are there any distinctive or unusual ways that Lumora performs certain activities compared to competitors? Analyze whether the current value chain configuration shows evidence of deliberate **trade-offs** or unique choices that support the strategy. For example, has Lumora chosen to excel in certain activities while foregoing or minimizing others? Or is it trying to do everything (which can lead to dilution)? Highlight any areas in the value chain where Lumora performs exceptionally well (these likely relate to the core capabilities from Step 1) and any areas that are weak or inefficient. Discuss if Lumora is making the right trade-offs in activities – e.g. focusing on integration and compliance might mean **trading off** some flexibility or breadth. Conversely, note if Lumora is stretching into activities that don't fit its chosen discipline. Summarize how **coherent or incoherent** the current operating model is: to what extent do the various elements and activities reinforce (or undermine) Lumora's strategic intent?

Step 3. Recommend Operating Model Realignment (30 pts) – Propose **concrete changes** to Lumora's operating model to better align it with the strategy. Organize your recommendations under the four action categories from **Leinwand & Mainardi's "bridge" framework**: (a) **Stop** Non-Strategic Activities, (b) **De-Emphasize** (streamline) Table-Stakes, (c) **Invest to Grow**, and (d) **Build & Scale**. (*Briefly, "Stop" means eliminating initiatives that don't add strategic value, "De-Emphasize" means pruning or simplifying essential-but-undifferentiated work, "Invest to Grow" means doubling down on existing strengths that drive advantage, and "Build & Scale" means developing new strategic capabilities and expanding them.*) For each category, list specific initiatives or adjustments Lumora should undertake. For example, under **"Stop,"** you might identify projects or business activities that no longer fit the core strategy (and thus should be halted to free up resources); under **"De-Emphasize,"** areas where Lumora can meet requirements with a leaner effort or lower cost (avoiding over-investment in things that are merely standard expectations); under **"Invest to Grow,"** existing strengths or differentiating capabilities that need additional resources to fully leverage; and under **"Build & Scale,"** new capabilities or systems Lumora must develop (or small pilots to scale up) to support its differentiators at scale. Provide **1–3 recommendations** in each category, explaining **why** each change will improve alignment with the strategy. Ensure your recommendations clearly address the misalignments or gaps found in Step 2 and tie back to enabling the **differentiating capabilities** from Step 1. In essence, your plan should show how Lumora will **shift resources** away from activities that don't matter as much, and toward the activities and capabilities that do – thereby building a fit-for-purpose operating model.

Step 4. Describe the Target Operating Model (15 pts) – Synthesize your recommendations into a cohesive **vision of how Lumora's operating model will look and function** after the changes. In a short paragraph (or visual diagram, if helpful), describe how the new configuration of people, processes, systems, and structure **works together** to support Lumora's strategic goals. Emphasize how the **key capabilities** (from Step 1) will be strengthened and delivered by the new design. Essentially, tell the "story" of Lumora's **future operating model** – for instance, you might describe how a customer lab is

onboarded or serviced in the new model more efficiently, or how teams and systems interact to deliver superior diagnostic accuracy and integration at scale. The goal is to illustrate that the changes form an **integrated whole** that reinforces **Lumora’s chosen way to play** (its strategic approach to winning). (Note: You may optionally include a simple sketch or table highlighting the new structures or process flows – this will not be graded separately, but can enrich your explanation.)

Step 5. Consider Execution Challenges (15 pts) – Finally, reflect on at least **two implementation challenges** or trade-offs Lumora will need to manage in executing your recommended changes. Strategy execution often involves difficult adjustments; identify potential obstacles such as organizational resistance, capability gaps, transitional risks (e.g. downtime or customer impact during the changeover), or short-term costs. For each challenge, briefly suggest **how Lumora’s leadership could address or mitigate it** (e.g. change management approaches, phasing of initiatives, training or hiring plans, securing quick wins to build momentum, etc.). This step ensures you demonstrate awareness of **practical feasibility** and the importance of managing uncertainty as Lumora transforms its operating model. In other words, show that you have thought about **“making it happen”** and not just what to do.

Grading Rubric

Section (Step)	Criteria	Points
Step 1. Value Discipline & Key Capabilities	Clear identification of the company’s chosen value discipline and the core capabilities needed to excel in its strategy. Differentiating vs. “table-stakes” vs. non-strategic areas are correctly identified. Rationale is compelling and aligned with the value proposition and competitive context (includes consideration of what is VRIN for advantage).	20 pts
Step 2. Operating Model Diagnosis	Comprehensive analysis of the current state across all 8 building blocks (with evidence from case). Strengths and misalignments relative to the new strategy are accurately identified. Includes insight into the value chain configuration and whether current activities and trade-offs align with strategic focus. Overall, demonstrates understanding of how well (or poorly) the pieces of the operating model fit together to support Lumora’s strategy.	20 pts
Step 3. Realignment Recommendations	Quality and specificity of recommendations. Uses all four categories (Stop, De-Emphasize, Invest, Build) with concrete, relevant initiatives. Clear logic for how each action improves strategic alignment (e.g. strengthens a differentiating capability or eliminates a misalignment). Shows prioritization of strategic over	30 pts

Section (Step)	Criteria	Points
	non-strategic activities (shifting resources appropriately). Considers feasibility at a high level (recommendations are plausible).	
Step 4. Target Operating Model Description	Presents a coherent vision of the future operating model . Shows how the proposed changes integrate to support Lumora’s differentiating capabilities and strategic goals. The description is clear, concise, and covers key elements (structure, processes, technology, etc.), illustrating how they will work together. (A diagram, if provided, is consistent with the narrative.)	15 pts
Step 5. Execution Challenges	Thoughtful reflection on implementation. Identifies relevant challenges/risks (at least two) likely in executing the changes. Provides realistic suggestions to address or mitigate each challenge. Demonstrates awareness of what will be difficult in practice (e.g. cultural resistance, resource gaps, customer impact) and how leadership might manage these issues to ensure the transformation’s success.	15 pts
Total		100 pts

Instructor Notes & Sample Solution

Step 1 (Value Discipline & Key Capabilities) – Sample Answer: Lumora’s chosen strategic focus can be characterized as **Product Leadership in the lab diagnostics domain**, with elements of deep customer integration. The company aims to offer the **most advanced, high-quality diagnostic support solution** for labs, rather than competing on lowest cost or generic breadth. Under the new strategy, Lumora’s **differentiating capabilities** should center on integrated, compliant diagnostics and data-driven insights. For example, seamless **integration with lab IT systems**, strong **regulatory compliance expertise**, and emerging **predictive analytics** prowess are critical to delivering “precision diagnostics at scale.” These capabilities directly underpin the value proposition and are areas where competitors struggle to match Lumora. They are **valuable** to customers, relatively **rare** in the industry at Lumora’s level of specialization, and **hard to imitate** due to the firm’s accumulated know-how (in other words, they meet the VRIN test). Lumora must continue to invest in and scale these strengths to maintain a competitive edge. By contrast, capabilities like having a slick general **user interface design** or providing basic **customer support** are **table stakes** – Lumora needs to perform them to an acceptable standard (e.g. a modern UI and responsive support are expected by clients) but excelling far beyond the norm in these areas won’t win deals and would not yield a competitive advantage. Over-investing resources there would be inefficient. Finally, activities that are

non-strategic given the focused German/Austrian labs strategy should be identified and phased out. For example, pursuing a **radiology imaging module** or chasing small **private clinic** clients with highly customized solutions do not align with the core lab market focus; such efforts divert resources from Lumora's core differentiators. In summary, Lumora should **focus on** its lab diagnostics domain know-how, data integration, and compliance excellence (these are its differentiators), **maintain** but not over-index on general software features and routine operations (table stakes), and **cease or avoid** initiatives outside of the lab domain or outside its chosen value discipline (non-strategic distractions).

Step 2 (Operating Model Diagnosis) – Sample Answer: The current operating model has several elements that **misalign with the new strategy**:

- **Leadership & Decision-Making:** Lumora's top team is committed to growth, but decision-making authority is somewhat diffused. For example, product direction decisions often require consensus among the CEO, CTO, and Head of Sales, leading to slow pivots. Leadership has occasionally green-lit opportunistic projects outside the core focus (e.g. a radiology pilot), indicating governance that hasn't strictly enforced the strategic boundaries. On the positive side, leaders now voice the need to "expand intelligently, not opportunistically," which aligns with refocusing on core lab clients – but this intent isn't yet fully reflected in decision processes. **Misalignment:** Strategic gating is weak – there aren't clear criteria to **filter out non-core initiatives**, so resources can still be pulled off-track.
- **Structure (Org Design):** The organization is currently structured functionally with some ad-hoc market-focused teams. For instance, there's a small "New Markets" unit exploring radiology and clinics, separate from the main Lab Solutions team. This structure created parallel efforts not aligned to the core strategy. The sales team is region-based (e.g. a DACH sales unit), which fits the Germany/Austria focus, but product development is split between the main DDSS team and a separate AI R&D group that was chasing imaging tech. **Strength:** The Lab Solutions (core product) team is well-established and close to the core market. **Weakness/Misalignment:** The existence of a dedicated radiology/AI team and a new markets sales effort reflects structural emphasis on areas now deemed off-strategy – causing resource dilution and internal confusion. Going forward, the structure needs to be streamlined around the core lab business.
- **Processes & Workflows:** Lumora's core processes (software development, deployment, customer support) tend to be **highly customized and case-by-case**. Each new lab customer goes through a lengthy onboarding workflow with bespoke integration and configuration. While this yields a tailored solution (a strength in serving complex lab needs), it **scales poorly** – onboarding is slow and resource-intensive, which conflicts with the "at scale" ambition. The product development process is somewhat reactive; features are often added per individual client requests rather than driven by a strategic roadmap. This indicates a lack of standardized, repeatable process for innovation, and it ties up development

resources on one-off needs. **On the plus side**, Lumora's compliance process is rigorous – quality assurance and audit checks are deeply embedded – supporting the “fully compliant” promise. **Overall:** Process misalignment exists in development and delivery – they need more standardization and efficiency to serve many labs efficiently, without losing the integration and compliance strengths.

- **People & Skills:** Lumora's ~200 employees include seasoned lab domain experts and integration engineers, which is a strength supporting accuracy and integration (core differentiators). However, there are **skill gaps** in areas like data science and cloud engineering – which are critical for building the new predictive analytics features and a scalable platform. Internal reports indicate the IT team is more experienced in on-premise hospital IT than modern cloud/SaaS technologies. Additionally, the sales force is skilled at large enterprise lab deals, but few have experience selling subscription or data-centric products. Culturally, employees take pride in compliance expertise (valuable), but the company lacks enough talent in cutting-edge tech domains. **Misalignment:** To execute the new strategy, Lumora's people capabilities need an update – either upskilling current staff or hiring new experts in data analytics, AI, and cloud operations.
- **Culture & Norms:** The company culture prides itself on being “customer-centric and quality-driven.” In practice, this has translated into “**never say no to a customer**”, resulting in over-customization and pursuing special features for any paying client (even if outside the strategic focus). This norm, born from a service mentality, now undermines focus – e.g. engineers feel pressure to accommodate a radiology feature for a pilot client despite it not being core to the lab strategy. Another cultural trait is a **risk-averse, compliance-first mindset** – which is beneficial for quality (labs trust Lumora's thoroughness) but makes the team hesitant to adopt bold new tech or prune outdated features. **Misalignment:** The culture needs to evolve to support **focus and innovation** – learning that it's okay to **say “no”** to off-strategy requests (in order to better serve the core market), and embracing modern changes (like cloud platforms or analytics) without fearing that it will compromise quality. In short, the culture that ensured past success now poses a challenge to scaling and refocusing.
- **Technology & Systems:** Lumora's current tech stack is a mix of old and new. The DDSS is delivered as **on-premise software** installed in each lab's environment, with custom integrations into each lab's LIS (Laboratory Information System). There is a limited cloud component – a pilot analytics module was developed to aggregate data, but it's not fully rolled out. The on-prem model has been reliable and secure (important for compliance) but doesn't easily support rapid scaling to many smaller labs or continuous updates across clients. Internally, Lumora's IT systems (CRM, support ticketing, etc.) are somewhat siloed and not fully integrated, causing inefficiencies in serving customers. **Misalignment:** To deliver at scale and leverage data for predictive insights, Lumora will need a more robust **cloud-based platform and data infrastructure**. Currently, technology is a half-step behind the strategic

vision – Lumora has strength in integration and reliability, but weakness in scalability and modern deployment methods.

- **Performance Metrics & Incentives:** Lumora traditionally tracks metrics like annual revenue per client, project implementation time, and product uptime. However, it does **not yet measure** things that reflect scaling or strategic focus – e.g. the number of labs onboarded per quarter, or the adoption rate of new predictive features. Sales incentives are tied to total contract value, which encourages chasing large deals (even outside the ideal customer profile) for short-term revenue. There's no incentive specifically for sticking to the target segment or selling standardized solutions. On the engineering side, teams are evaluated on customer satisfaction and system stability (which encourages thoroughness and customization to keep each client happy) but not on speed of deployment or reuse of solutions across clients. **Misalignment:** The current incentive system rewards behaviors (custom big deals, perfectionism) that can conflict with the new direction of focus and scale. For example, a salesperson might still pursue a private clinic deal for a commission even if it's off-strategy. Realigning KPIs toward strategic goals (like focusing on core lab segment growth, or faster standard deployments) has not happened yet, creating risk that people's priorities won't change.
- **Partnerships & Ecosystem:** Historically, Lumora has done most things in-house. It has a few partnerships – e.g. an informal alliance with a lab equipment manufacturer (to integrate device data into the DDSS) and a cooperative relationship with a healthcare compliance consultancy (to keep Lumora's knowledge cutting-edge on regulations). However, there are no major strategic tech partnerships; notably, Lumora attempted its AI radiology project internally instead of partnering with an established imaging AI firm. Also, Lumora has no distribution or implementation partners in Austria – all sales and deployments are handled directly by the internal team. **Strength:** The equipment integration partnership aligns with Lumora's aim of being the most integrated lab solution, and doing compliance in-house has ensured quality. **Weakness/Opportunity:** The lack of cloud or analytics partners, and the go-it-alone approach to new tech, may be slowing Lumora down. Additionally, as Lumora aims to rapidly penetrate labs across Germany/Austria, doing everything solo (from sales to implementation) could be a bottleneck. This is an area where a more robust ecosystem – such as reseller partners or technology allies – could help achieve scale.

Value Chain & Trade-Offs: Looking at **Lumora's value chain** of activities end-to-end, it's clear that the company has been trying to do **“everything” for every customer**, which has hindered efficiency. From product development and customization, to delivery and support, Lumora tends to **over-tailor** its activities to individual client needs. This approach provided excellent bespoke solutions (supporting a Customer Intimacy style in the past), but it came at the **expense of scalability**. For example, in the **Operations** phase (developing and configuring the DDSS), Lumora effectively built a slightly different version for each lab – a trade-off favoring customization over speed. In **Service/Support**, it has

high-touch support for each client. Meanwhile, it also dabbled in entirely new product lines (radiology) and new customer segments, stretching the value chain beyond the core. The result is that Lumora has **not made clear trade-offs** on what NOT to do: it tried to pursue both core lab excellence and exploratory projects, which diluted its efforts. This lack of focus is a strategic issue – competitive strategy requires making choices and trade-offs. **Currently, many activities are not tightly aligned** with the chosen value discipline of product leadership in lab diagnostics. The company's activities need to be refocused: for instance, simplify and standardize the **integration and deployment processes** (even if it means less unique customization per client) in order to deliver at scale, and consciously **drop activities** like radiology R&D that don't fit the core value chain. In summary, the diagnostic mapping above reveals that Lumora's core strengths (lab domain expertise, integration capability, compliance processes, and strong customer trust) form a solid foundation, but these strengths are **undermined by a diffuse operating model** – especially the custom, risk-averse culture, outdated tech approach, and incentives favoring off-strategy pursuits. The current value chain is stretched and inefficient due to trying to accommodate too many agendas. These misalignments need to be addressed for Lumora to execute its focused strategy effectively.

Step 3 (Realignment Recommendations) – Sample Answer: To realign Lumora's operating model with its strategy, we propose the following actions in each category:

- **Stop Non-Strategic Activities:** Lumora should **halt or phase out** the initiatives that do not contribute to the core lab diagnostics strategy. This means **stopping the development of the radiology imaging module** (freeing those R&D resources) and discontinuing dedicated sales or marketing efforts toward private clinics or other peripheral segments. For example, a planned pilot project with a radiology center should be respectfully wound down or handed off to a partner, rather than consuming Lumora's focus. Additionally, Lumora must curb its habit of excessive one-off customization: it should start **saying "no"** to customer requests that fall outside the standard lab solution or do not have broader strategic benefit. Stopping these activities will **conserve resources** (both capital and talent) and allow more focus on what truly differentiates Lumora. It also sends a cultural signal that **focus matters**. *(Communication will be key – leadership should explain that stopping certain projects doesn't mean a lack of ambition, but rather refocusing efforts where Lumora can win.)*
- **De-Emphasize (Streamline) Table-Stakes:** Identify operational areas where Lumora may be **over-investing or over-engineering** without strategic benefit, and streamline them. One example is the **user interface customization** – currently, every client gets a highly tailored UI; this can be de-emphasized by offering a few standard themes or configurations instead. Lumora should certainly maintain a user-friendly interface, but it need not aim to be a design leader; labs primarily value functionality and integration over flashy UI. Another **table-stake** to prune is the "one-off" integration engineering for each new client. Instead of reinventing integration for each lab (integration is necessary but not a differentiator beyond a

certain point), Lumora can develop **standardized adapters or middleware** to handle common lab systems. This would drastically reduce the effort per client while still meeting the basic requirement of connecting to lab equipment and LIS systems. Likewise, Lumora should be cautious not to overspend on features that competitors also have (e.g. routine reporting modules or basic analytics) – these should meet baseline expectations but **not consume excessive R&D budget**. By streamlining these table-stake activities, Lumora will continue to meet customer expectations in those areas **efficiently**, freeing up resources (time, money, talent) to apply to true differentiators.

- **Invest to Grow:** Lumora has several existing strengths that align directly with its strategy and should receive **increased investment** to fully capitalize on them. First, invest in the **data analytics and predictive insights capability** within the DDSS. Lumora sits on a large repository of lab diagnostic data from its client installations – a treasure trove for predictive algorithms. The company should hire a few data scientists or partner with a machine learning firm to enhance the predictive models that can flag anomalies or suggest process improvements for labs. This will turn a current nascent feature into a true selling point, delivering on the “increasingly predictive” aspect of the value proposition. Second, invest in **scaling and productizing the integration platform** – Lumora is already known for seamless integration with lab systems (a competitive strength), but this can be taken further by developing a robust, standardized integration engine (perhaps a set of APIs and connectors) that makes connecting to any common lab device or LIS almost plug-and-play. This might require more engineers or new integration tools, but it strengthens a core capability that differentiates Lumora. Third, invest in **talent and training** in critical areas: for example, provide training for existing engineers on cloud technologies and secure a few experienced cloud architects to help design the new cloud platform (see “Build” below). Also bolster the data security/compliance team to ensure that moving to cloud and more data-driven operations doesn’t compromise Lumora’s trusted compliance standards. These investments all support capabilities that Lumora already has in some form (integration, compliance, data use), helping turn them into **sustainable competitive advantages** that competitors will find difficult to match.
- **Build & Scale:** This category focuses on adding new capabilities or significantly scaling up small pilots to meet strategic needs. A top priority is to **build a cloud-based delivery model** for Lumora’s software. Currently on-premise, the DDSS should evolve into an **optional cloud (Software-as-a-Service) offering**. This will involve building out a secure cloud infrastructure and likely a DevOps team to manage continuous deployment. Doing so will enable faster deployments to new labs (a lab could access the platform via the cloud with minimal local install) and easier roll-out of updates and predictive features across the entire client base. In parallel, Lumora should build a more **streamlined onboarding process** – perhaps create a “Lumora Launch Kit” for new labs that codifies best practices, templates

for integration, and automated configuration scripts. The goal would be to reduce deployment time from months to maybe a few weeks, supporting the “at scale” promise. Another critical build is a **central data analytics platform** that aggregates anonymized data from all client labs (with their permission and in compliance with regulations) to fuel the predictive engine and provide benchmarking insights to customers. This may require new data infrastructure and governance protocols. Lastly, Lumora should **build out its ecosystem**: for instance, establish a **partner program** in the region – train a few trusted IT consulting firms in Germany/Austria to implement Lumora’s system at client sites, extending Lumora’s reach without proportional headcount growth. Similarly, pursue a formal alliance with major Lab Information System vendors in the target countries so that Lumora’s solution can interface easily (or even come pre-integrated) with those systems. These “build & scale” moves establish the new **capability platform** for Lumora’s future – they are foundational changes that enable Lumora to deliver its value proposition broadly and efficiently. Over time, these will become part of Lumora’s **differentiating system** (and will be hard for competitors to replicate if Lumora moves decisively).

Together, these recommendations would stop distracting efforts and **double down on what makes Lumora special**. They also introduce new ways of working (cloud delivery, standardized processes, partnerships) that are crucial for reaching many labs effectively. Each category addresses specific gaps noted in the diagnosis: for example, **stopping** the radiology project and custom one-offs aligns leadership focus and structure with the strategy; **de-emphasizing** over-customized UI or non-core features frees up effort and simplifies processes; **investing** in data analytics and integration talent directly bolsters Lumora’s differentiators; and **building** a cloud platform and partner network tackles the scalability and technology shortcomings. In sum, the transformation plan rebalances the operating model – pulling back from areas that don’t drive the strategy, and pushing forward in the areas that do.

Step 4 (Target Operating Model Description) – Sample Answer: In the **target operating model**, Lumora functions as a focused, scalable lab diagnostics specialist.

Organizationally, the company is re-centered around a single “Lab Solutions” division – the separate radiology and exploratory teams have been dissolved or integrated into the core team. There is now one unified product development group that includes a new **Data & Analytics sub-team** working alongside traditional software engineers, ensuring that predictive features get developed hand-in-hand with the core DDSS product. The structure is flatter and more cross-functional: for each new lab client deployment, a **squad** is formed drawing from product, integration engineering, and compliance, which works through a standardized onboarding playbook. **Processes** are far more streamlined. When a new lab is signed on, the implementation follows a well-defined process using the “Lumora Launch Kit” – common integration adapters are used instead of writing custom code from scratch, and much of the configuration is automated. This means a lab can go live in weeks, not months, with only minor tweaks rather than a full custom build. Many deployments occur via Lumora’s **new cloud platform**, allowing labs to access the

software through a secure web portal. Software updates roll out continuously across all cloud-connected labs, so every customer always has the latest features (instead of the old model of infrequent on-prem upgrades). Importantly, **data from all labs** (appropriately anonymized) flows into a central repository, which Lumora's AI uses to improve diagnostic algorithms – so the more labs join, the smarter and more valuable the product becomes for everyone (“at scale” advantage). **Technology** in this target state is cloud-first and modular. Lumora's system is built on a modern cloud architecture, but with rigorous security and compliance checks baked in at every step (to satisfy the strict lab regulations). Internally, teams use integrated CRM and support systems that give a single view of each customer, making it easier to track and support many clients efficiently. **People & Culture:** Lumora's workforce now includes new cloud specialists and data scientists, and the company has nurtured an internal culture of focus and innovation. Employees understand that being **laser-focused on core labs** doesn't mean doing less for the customer – it means doing what Lumora does best, better than anyone else. The norm of saying “no” to off-strategy requests has taken hold; teams feel empowered to stick to the standard solutions knowing it leads to faster outcomes and a stronger product for all clients. At the same time, innovation is encouraged in areas that enhance the core product – for example, engineers are hackathon-ing new analytics features rather than building one-off customizations. **Governance** is aligned through a strategic filter: any new idea or requested feature is vetted by asking, “Does this help us deliver precision diagnostics at scale in labs?” If not, it's politely declined or postponed. Leadership has instituted quarterly strategy reviews to ensure all initiatives in flight align with the defined ambition. **Metrics & incentives** have also been realigned: salespeople are rewarded not just for total contract value but for landing deals in the target segment and for customer adoption of standard features. Engineers and support teams are measured on deployment speed and multi-client solution reuse, in addition to quality. In sum, the new operating model is one where **all elements reinforce Lumora's differentiating capabilities**: integration and compliance are codified in reusable tools and processes; predictive analytics is a core offering continually improved by a dedicated team; and anything that is not strategically important is minimized or offloaded. This cohesive model enables Lumora to consistently and efficiently deliver its value proposition, strengthening its position as the go-to solution for diagnostic labs in Germany and Austria.

(Optional diagram: Students might illustrate the target operating model as a diagram – for example, showing a centralized cloud platform connecting to multiple labs, supported by integrated teams and partner channels – to visualize how the new setup operates.)

Step 5 (Execution Challenges) – Sample Answer: Implementing these changes will not be trivial; Lumora will face several **challenges in execution**:

- **Cultural Resistance and Change Management:** After years of prioritizing custom client service, some employees will resist the shift to a more standardized, focused approach. For instance, the R&D team that had been working on the radiology module might feel demoralized or fear for their jobs when that project is stopped. Sales staff, who took pride in being able to “make any customer happy” with

custom deals, may be skeptical of turning down business outside the core. To mitigate this, Lumora's leadership should engage in clear and transparent communication about *why* these changes are necessary. They should frame the refocus as a positive move for the company's growth and stability ("we can't be great at everything, so we're going to be the best at what matters most"). Involving key influencers or long-tenured staff in designing the new processes can help – if they feel ownership, they're more likely to champion the changes. The company might also offer re-training or new roles to staff affected by stops (e.g. the radiology R&D experts could be reassigned to building the analytics engine for labs, leveraging their skills in a strategic way). Celebrating early **quick wins** – say, a successful fast onboarding of a new lab via the standardized process – will provide proof that the new model works and help convince skeptics.

- **Capability Gaps and Hiring:** Building new capabilities like a cloud platform or advanced analytics requires skills that Lumora's current team may not fully possess. There's a risk that the company will struggle to hire the necessary talent quickly in a competitive market (for example, cloud architects and data scientists are in high demand). Any delay in filling these roles could slow down the transformation. To manage this, Lumora can adopt a phased approach: perhaps **partner with an external cloud services firm** or consultants initially to design the system architecture, while simultaneously upskilling existing IT staff through intensive training. Bringing in a few contractors or interim experts could jump-start the build of the cloud platform and data pipeline while permanent hires are sought. Lumora should also allocate budget upfront for critical hires and consider creative incentives to attract talent (highlighting that new team members will be at the forefront of modernizing healthcare tech, which could be quite appealing). Essentially, leadership needs a plan to bridge the skill gap — whether through partnerships, training, or acquisitions of small specialist firms — so that capability-building doesn't stall.
- **Customer Transition and Perception:** Lumora's existing customers (the labs currently using the on-premise, highly tailored solution) will need to be brought along on this journey. Some might be wary of changes like moving to a cloud-hosted model or a more standardized product approach. They might worry about data security in the cloud, or fear that a one-size-fits-all approach could mean losing certain custom features they valued. Lumora must manage this carefully to avoid alienating the very labs it's focusing on. One mitigation tactic is to introduce the changes gradually: for example, offer the cloud DDSS as an **option** while continuing to support on-prem for those who aren't ready to switch, at least for an interim period. Demonstrating strong data privacy and compliance certifications for the cloud platform will be crucial to easing security concerns. Lumora can also frame the changes as **added value**: e.g. "With our new unified platform, you'll get updates and improvements much faster, and access to predictive features that weren't possible before." Early adopter clients could be given discounts or extra support to

try the new model, turning them into reference cases. Maintaining a high level of customer support during the transition (even as processes change) will be important to show that Lumora is not abandoning its commitment to service.

- **Maintaining Quality and Compliance During Change:** As Lumora speeds up processes and shifts to new technology, there's a danger that mistakes or oversights could occur, potentially impacting the quality or compliance that clients expect. For instance, rolling out a new cloud deployment too hastily could inadvertently violate a strict data privacy regulation, undermining trust with customers and regulators. To prevent this, Lumora should not compromise its quality checks – instead, it should **automate** them. For example, build automated test suites and validation scripts into the new DevOps pipeline so that every software update undergoes rigorous testing (including compliance verifications) before release, even if releases are more frequent. The company can also pilot major changes in a controlled environment: perhaps run the new cloud platform in parallel with a test group of friendly customers to iron out issues before a full launch. Another tactic is to sequence the initiatives such that high-risk changes (like moving sensitive data to the cloud) happen only after thorough internal trials and perhaps obtaining external audits or certifications. Ensuring that Lumora's Compliance Officer and quality assurance team are deeply involved in the transformation process (not sidelined) will keep the **"safety nets"** in place as the company innovates.

Overall, to navigate these execution challenges, Lumora's leadership will need to maintain a strong focus on **change management**. This includes clear communication of the vision (so everyone knows *why* the change is good), investing in people (so they have the skills and confidence to operate the new model), and carefully managing the pace of change (so customers and employees are not overwhelmed). By anticipating the hurdles – cultural, technical, customer-related – and addressing them proactively, Lumora can greatly improve the odds that its operating model transformation will succeed and truly bridge the gap between strategy and execution.

Appendix: Key Case Data – Lumora HealthTech Operating Context

(All information below is provided to support your analysis. It reflects Lumora's current situation and recent internal insights, gathered through management interviews and operational reports.)

Company Overview & Strategic Background

- **Business Model:** Lumora HealthTech sells a Diagnostic Decision Support System (DDSS) to clinical laboratories (B2B software). Historically, the focus has been large diagnostic lab chains in the DACH region, but the company experimented with adjacent markets (private clinics, radiology centers) in the last two years. Revenue in Germany & Austria last year was €44 million (roughly 90% from lab clients, 10%

from a few pilot projects in other segments). Growth has slowed to ~3% (vs. >10% a few years ago) as the core lab market saturates and competitors nibble at niches.

- **Competitive Landscape:** In the core lab segment, Lumora faces a few direct competitors offering lab decision support software, but none with the same integration and compliance depth. However, large electronic medical record (EMR) and lab information system vendors are increasingly interested in adding diagnostic decision modules, potentially encroaching on Lumora's turf. These bigger firms (often with broad hospital IT suites) could become serious threats if Lumora doesn't solidify its niche. In the adjacent markets (clinics, radiology), Lumora encountered specialized competitors (for radiology AI, etc.) and found it challenging to win as an outsider. This reinforced the lesson to focus. Overall, Lumora's competitive advantage so far has been its **specialization in lab workflows and its reputation for accuracy/compliance** – it's seen as a "lab specialist" rather than a general software vendor.
- **Recent Strategic Decisions:** The CEO and executive team, after seeing slow growth, decided to refocus on the core labs in DACH where Lumora historically succeeded. They formally paused any expansion to new markets. They also articulated the new value proposition ("precision diagnostics at scale") to double down on leveraging Lumora's strengths (precision and compliance) while addressing the need for scalability. This assignment's timing coincides with that strategic pivot – leadership knows the operating model (org structure, processes, etc.) now needs to catch up to support the refocused strategy.

Current Operating Model Highlights (from internal interviews):

- Lumora's **Organization Structure** is mostly functional: product development (engineering) team, sales team, client implementation/support team, etc. However, in practice, teams have been pulled into custom project groups for new initiatives (like the radiology pilot team was a special project drawing people from engineering and data science). There is a sense that "everyone wears multiple hats" due to the company's medium size and evolving priorities.
- **Decision-Making & Governance:** Major decisions (product roadmap, new market entry) are made by the executive team (CEO, CTO, COO, Head of Sales). There isn't a formal strategy committee or anything – it's been somewhat ad hoc. That led to some decisions driven by short-term opportunity (like taking on a big custom project for a clinic because it brought in revenue) rather than strategic fit. Middle managers say they lack clarity on what initiatives to prioritize when resource conflicts occur.
- **Processes:** Many processes are informal or in flux. The product development lifecycle is not strictly defined (they don't rigidly follow Agile or Waterfall – it's a mix, often adjusting to client needs). Client implementation follows a general checklist

but is highly variable in duration and scope per client. Quality and regulatory compliance processes *are* well-documented (because they needed to certify the software as a medical device, etc.), so things like testing, validation, and documentation are thorough.

- **People & Culture:** Employees (about 200 in total) are mostly located in Germany (Munich HQ) with some in Austria for sales/support. Culturally, employees describe the company as “customer-committed, quality-first, but feeling growing pains.” Many staff joined when Lumora was a startup and wore many hats; now roles are becoming more specialized, which causes some friction (early employees feeling like processes are becoming too formal). There is pride in the mission of improving lab diagnostics. However, some fatigue is noted from constant custom projects – engineers mention “we rarely get to polish the core product because we’re always racing to build the next custom thing someone sold.”
- **Technology Stack:** The core DDSS product is built in C#/.NET and uses a local SQL database at each client site. There’s a web-based dashboard but it runs on a server at the lab. The new analytics pilot uses Python and runs on AWS cloud, but only with dummy data currently. Internally, the company uses a mix of tools: older on-premise ERP for finance, a basic CRM for sales (not fully adopted by everyone), and lots of Excel sheets for tracking projects. They have not invested heavily in internal IT systems due to budget constraints.
- **Performance Metrics:** The company’s dashboard for executives tracks things like total revenue, number of new contracts signed, average deal size, profit margin, and product uptime (system reliability). Customer satisfaction is measured informally (no consistent NPS or survey program). There’s no metric for how standardized vs. custom the deployments are, or how quickly new clients go live (historically each deal was big and unique, so less attention paid to average deployment time).
- **Partner Network:** Lumora has a small partnership with **MediLab Instruments Co.** (a lab hardware maker) to ensure data integration between Lumora’s software and MediLab’s devices. This came from a joint client that wanted the systems to talk. There’s no formal revenue-sharing or reseller arrangement, it’s more of an informal collaboration. For implementation, Lumora tends to do everything in-house; they haven’t cultivated third-party integrators. They also have relationships with some academic labs and hospitals for research (e.g., one university lab is providing sample data to help Lumora train its AI models).
- **Financial Snapshot:** Lumora is privately owned (venture-funded). It has been roughly break-even the last two years, as profits from established lab clients were reinvested into exploratory projects. The radiology pilot, for example, cost around €2M. For the coming year, the board has approved an extra €5M budget if needed to pivot and strengthen capabilities, but they want to see a solid plan (that’s part of why this operating model review is happening).

Key Strategic Challenges Identified:

- **Scalability vs. Customization:** The core tension is how to scale to more labs (and grow faster) without losing the high-quality, tailored service that made Lumora successful. Leadership knows they need to standardize and possibly productize more of the solution, but they worry about under-serving customer needs.
- **Technology Modernization:** Moving to the cloud and leveraging AI are seen as important for staying ahead, but these are new areas for Lumora. They have to figure out how to do this while maintaining their reputation for bulletproof compliance and accuracy.
- **Focus and Opportunity Cost:** By refocusing on labs in DACH, Lumora is consciously forgoing other markets in the near term. The challenge will be to not get tempted by “easy money” contracts outside this focus, and instead deepen their penetration and advantage in the core market.
- **Competition Response:** If Lumora’s larger competitors notice its success in the lab decision support niche, they might invest more in that area or attempt to copy features. Lumora’s strategy of focus means it has to out-execute these bigger firms within the niche. That likely involves being more agile and innovative in labs than a generalist competitor could be.
- **Regulatory Changes:** New EU regulations (the In Vitro Diagnostic Medical Device Regulation, IVDR) are coming into full effect, requiring even more stringent documentation and validation for software like Lumora’s. While Lumora’s compliance team is very competent, this will increase the workload on the development process. There’s concern that without process changes, meeting these regulations could slow releases to a crawl – hence the need for possibly more automated compliance tools or more efficient processes.

(End of Appendix)

Student Response Template

Step 1: Value Discipline & Key Capabilities

- **Value Discipline:** *(Which of the three value disciplines – Operational Excellence, Customer Intimacy, or Product Leadership – best describes Lumora’s strategic focus? State your choice and briefly justify it, based on how Lumora delivers value to its lab customers.)*
- **Differentiating Capabilities to Strengthen:** *(List the few capabilities Lumora must excel at to support its chosen strategy. Why are these capabilities critical and unique? Indicate how each is Valuable, Rare, Inimitable, and Non-substitutable – i.e. does it meet the VRIN criteria?)*

e.g., **[Capability Name]** – [Brief justification of its importance to the strategy and what makes it hard for competitors to match]

- **“Table Stakes” (Maintain Adequately):** *(List the areas or activities that Lumora needs to do well enough to meet industry standards, but which will not differentiate it. These are essential to operate but should not be over-invested in.)*
e.g., **[Activity/Area]** – [Reason why it’s important to do, but not a source of competitive advantage]
- **Non-Strategic Activities (Consider Stopping):** *(List any current activities, projects, or offerings that do not align with the focused strategy and could be reduced or eliminated to free resources.)*
e.g., **[Activity/Initiative]** – [Explanation of why it’s misaligned with the strategy and should be phased out]

Step 2: Current Operating Model Diagnosis (8 Building Blocks & Value Chain)

Use the table below (or a similar format) to map Lumora’s **current operating model**. For each element, summarize the current state and assess whether it **supports or undermines** the new strategy (“labs in DE/AT, precision-at-scale”). Identify any key **strengths** to preserve and **weaknesses/misalignments** to address.

Operating Model Element	Current State & Alignment Assessment <i>(How does this element function today? Is it helping execute the “precision diagnostics at scale” strategy, or creating issues?)</i>
Leadership & Decision-Making	e.g., How are strategic decisions made? Is leadership providing clear focus on core labs? Any instances of unfocused decisions? Strengths/weaknesses in governance.
Structure (Org Design)	e.g., How is the company organized (by function, market, etc.)? Does this structure fit the new focus (labs in DE/AT)? Any structural silos or teams misaligned with the strategy?
Processes & Workflows	e.g., Key process characteristics in development, deployment, service. Are processes efficient and standardized for scale, or overly customized? Any bottlenecks or misfits?
People & Skills	e.g., What talent does Lumora have (domain experts, engineers, etc.)? Where are the skill gaps relative to new strategic needs (data science, cloud, etc.)? Alignment of workforce capabilities/culture with strategy.
Culture & Norms	e.g., Prevailing mindsets and behaviors (“customer always first,” risk aversion, etc.). Do these cultural elements support the new focus and innovation at scale, or do they cause friction?

Operating Model Element	Current State & Alignment Assessment <i>(How does this element function today? Is it helping execute the “precision diagnostics at scale” strategy, or creating issues?)</i>
Technology & Systems	e.g., The state of Lumora’s product tech (on-prem vs cloud) and internal IT. Does the tech enable scaling and analytics as needed? Any outdated systems or tech misalignments?
Metrics & Incentives	e.g., What performance metrics and reward systems are in place (sales targets, project KPIs)? Do they encourage focusing on core strategic goals (like scaling labs) or do they incentivize undesirable behaviors (like custom deals)?
Partnerships & Ecosystem	e.g., External partners (tech partners, channel partners)? Is Lumora leveraging partnerships to support its strategy (integration, faster deployment, market access) or operating mostly alone? Opportunities to partner more?

After reviewing the building blocks, **briefly describe Lumora’s value chain** (the key activities from product development to delivering and supporting the DDSS in labs). Are there any **unique ways** Lumora performs certain activities? Highlight any stages where Lumora excels or lags behind competitors. Discuss whether Lumora has made clear **trade-offs** in its activities (what it does *differently* or what it chooses *not* to do) in line with its strategy – or if it’s trying to do too much. This will help identify additional misalignments and areas to reconfigure.

Step 3: Operating Model Realignment Recommendations

Propose changes under each of the four categories below. Be specific about **what Lumora should do** and **why** it helps align the operating model with the strategy. Ensure these recommendations clearly address the issues you found in Step 2 and aim to strengthen the differentiating capabilities from Step 1.

- **Stop Non-Strategic Activities:**
- **[Initiative to Stop]** – *Justification:* Why does this activity not add value to the “precision diagnostics at scale” strategy? How will stopping it free up resources or eliminate distraction?
- **[Another thing to Stop]** – *Justification:* (if applicable)
- **De-Emphasize / Streamline Table-Stakes:**
- **[Area to De-Emphasize]** – *Justification:* How can Lumora simplify or scale back this activity while still meeting basic requirements? (Explain why it’s a “must do” but not a “must excel” area.)
- **[Another to De-Emphasize]** – *Justification:* (if applicable)

- **Invest to Grow (Strengthen Existing Capabilities):**
- **[Capability/Activity to Invest In]** – *Justification:* Which differentiating capability or strategic area is this investment boosting? Why will more resources here drive competitive advantage or growth?
- **[Another Invest-to-Grow item]** – *Justification:* (if applicable)
- **Build & Scale (New Capabilities or Expansions):**
- **[New Capability/Initiative to Build]** – *Justification:* What new capability does Lumora need to develop, or what pilot project should be scaled up, to support the strategy? Why is this important and how will Lumora build/implement it?
- **[Another Build/Scale item]** – *Justification:* (if applicable)

(Aim for 1–3 focused recommendations in each category; you don’t need to fill all with 3 if not necessary. It’s better to have a few well-explained, high-impact changes than a long list of minor tweaks. Also, make sure collectively these moves reallocate attention and resources toward Lumora’s differentiators and away from non-essentials.)

Step 4: Target Operating Model Description

Describe in a short **paragraph (3–5 sentences)** how Lumora’s operating model will function after implementing your recommendations. Focus on how the new configuration supports Lumora’s strategic goals and differentiating capabilities. You might mention how key teams will be structured, how core processes will flow more efficiently at scale, or how technology and partnerships will enable better performance. The goal is to show a **cohesive picture** of the future state: how do the people, processes, technology, and other elements work together to deliver “precision diagnostics at scale” better than the current model? *(You may include a simple diagram on a separate page if it helps illustrate the new operating model, but be sure to also explain in writing the main changes and why they make Lumora more effective.)*

Step 5: Execution Challenges & Mitigation

1. **Challenge:** *[Identify a potential challenge in implementing the changes.]* – **Mitigation:** *[How could Lumora address or mitigate this challenge?]*
e.g., **Resistance to Change** – *Employees accustomed to the old way might resist new processes or stopping projects.* **Mitigation:** Clearly communicate the “why” behind changes, involve staff in planning, provide training or new opportunities for those impacted, and celebrate early wins from the new model to build buy-in.
2. **Challenge:** *[Another likely implementation challenge or risk factor.]* – **Mitigation:** *[How to manage or reduce this risk?]*

e.g., **Capability Gap** – Lumora lacks experience in cloud tech, which could slow the build of the new platform. **Mitigation:** Partner with a cloud expert firm initially, invest in training/hiring for cloud skills, and possibly phase the rollout to learn and adjust gradually.

(Add a third challenge if you see another major risk. Aim for at least two substantive challenges with corresponding mitigation strategies. Consider areas like culture, skills, systems integration, customer impact, financial constraints, etc. Showing that you can foresee hurdles and think of responses will strengthen your proposal.)
